The motion to compel is therefore **granted**. Ptf must serve full and complete written responses to the requests in question, without objections, by February 6, 2026. It must also produce all responsive documents by February 20, 2026.

The Court awards sanctions of $1,335, payable by counsel for plaintiff within 30 days.

16. 9:01 AM CASE NUMBER: C23-03094
CASE NAME: CAROL BERGER VS. BARBARA QUINLAN-TUDDA
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER DISCOVERY RESPONSES**
FILED BY: ZADESKY, LOUIS

TENTATIVE RULING:

This case has been **settled**.

Law & Motion
Add On

17. 9:00 AM CASE NUMBER: C24-02448
CASE NAME: FAT.HOMES LLC VS. SUKHPREET BRAR
***HEARING ON MOTION IN RE: EXPUNGE LIS PENDENS**
FILED BY: PLAINTIFF
TENTATIVE RULING:

Plaintiff FAT.Homes LLC moves to expunge lis pendens based on defendant/cross-complainant Sunayna Bedi's recording of a lis pendens on property owned by FAT.Homes. FAT.Homes argues that Bedi's lis pendens should be expunged because: (1) the claims in the cross-complaint are not real property claims; (2) Bedi cannot establish probable validity of her real property claims; and (3) Bedi failed to serve the lis pendens as statutorily required. The motion is **denied**, but no party is ordered to pay sanctions.

Background

This is a triangular lawsuit, with the three sets of parties being (1) plaintiff FAT.Homes; (2) defendant Brar and Brar's LLC (collectively called Brar here); and (3) defendant Bedi. The actual facts of what happened will remain to be shown at trial or in further proceedings. What the present papers show, however, is this: Brar was the owner of a property in Richmond. Brar and FAT.Homes agreed to a sale of the property from Brar to FAT.Homes. For reasons not very clearly explained, however, FAT.Homes as the buyer did not timely record the grant deed from the sale, thus (as far as county land records could show) leaving Brar in apparent ownership of the property. Brar then took advantage of that fact by granting a deed of trust on the property to Bedi, as part of settlement of an unrelated debt owed by

Brar to Bedi.

FAT.Homes filed the present lawsuit against Brar and Bedi, seeking (among other relief) to clear its title to the property as against the deed of trust granted by Brar to Bedi and now held by Bedi. Bedi cross-complained against Brar (though not against FAT.Homes), seeking (among other relief) enforcement of the deed of trust. Bedi filed a lis pendens against the property based on her deed of trust.

Brar has not participated actively in the present motion proceedings, which are thus effectively a bilateral dispute between Bedi and FAT.Homes. Notably, however, the narrative recounted by these two parties is substantially consistent, with each of Bedi and FAT.Homes being an innocent victim of misdeeds committed by Brar. (Admittedly we haven't heard Brar's side of any part of this story yet.) In a nutshell (as recounted by the presently contending parties), Brar first sold the property to FAT.Homes, while inducing FAT.Homes to refrain from recording its grant deed. Then, despite having previously sold the property to FAT.Homes, Brar then pledged the same property to Bedi as security for a debt repayment. Thus, to oversimplify a little, the bottom-line dispute between these two parties can be summarized as determining which of the two can be made whole as against Brar via recovery of the property (or its value), versus which of the two will be relegated to seeking direct financial recovery from (a dubiously solvent) Brar. And if there is a moral to this story, it is this: When you do a real estate purchase, record the deal promptly, or you're at risk of intervening shenanigans by the seller.

<u>Detailed Allegations</u>

On June 6, 2024, Plaintiff FAT.Homes purchased real property in Richmond from the Brar defendants. (Complaint, ¶ 9.) FAT.Homes did not record the grant deed due to Brar asking it not to so that they could purportedly refinance a loan, and also because FAT.Homes lost the executed copy (*Id*. at ¶ 10; Lejoy Decl., ¶ 6.). FAT.Homes did not record the grant deed until July 31, 2024. (Cross-Complaint, ¶ 13.)

However, prior to July 31, 2024, and after the June 6, 2024 sale of the property, Brar provided a deed of trust on the Property in favor of cross-complainant Bedi in relation to a $250,000 loan. (Request for Judicial Notice ISO Opposition, Exh. C.) In the deed of trust, in addition to securing the principal amount of $250,000, Brar agreed with Bedi that Brar would give Bedi a contract to repair the property and instruct the property lender to disburse all repair and construction funds to Bedi. Bedi would hold the draw funds and pay the contractors and workers. After completion of the repairs, Bedi was to retain Brar as a real estate agent, to list and sell the property. (*Ibid*.) Upon the sale of the property, 100% of the proceeds were to go straight to Bedi. (*Ibid*.) Bedi recorded the deed of trust on July 18, 2024, prior to Plaintiff recording the grant deed. (See Complaint, ¶ 11; Lejoy Decl., ¶ 7.).

Plaintiff filed this action against Brar and Bedi on September 11, 2024, asserting claims for fraudulent transfer, fraud, breach of contract, and rescission. (Complaint, p.1.) Bedi filed a cross-complaint against the Brar defendants on October 10, 2024, asserting claims for breach of contract, breach of deed of trust, fraudulent concealment, and breach of the implied covenant of good faith and fair dealing. (Cross-Complaint, p. 1.)

<u>Legal Standard</u>

The purpose of a lis pendens is "to give constructive notice of an action affecting real property to persons who subsequently acquire an interest in that property, so that the judgment in the action will be binding on such persons even if they acquire their interest before the judgment is actually rendered." (*Bishop Creek Lodge v. Scira* (1996) 46 Cal.App.4th 1721, 1733.) "As a practical matter, the filing of a lis pendens usually clouds the title to the property and prevents its transfer until the litigation is resolved or the lis pendens is expunged." (*Malcolm v. Superior Court of Santa Clara County* (1981) 29 Cal.3d 518, 523, fn. 2.) "Unlike most other motions, when a motion to expunge is brought, the burden is on the party opposing the motion to show the existence of a real property claim." (*Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 647.)

A court shall order a notice of lis pendens expunged if it determines (1) that the pleading on which the notice is based does not contain a real property claim (§ 405.31); (2) that the claimant has not established, by a preponderance of the evidence, the probable validity of a real property claim (§ 405.32); or (3) that adequate relief can be secured by an undertaking. (§ 405.33.)

(*Shoker v. Superior Court* (2022) 81 Cal.App.5th 271, 277.)

<u>Objections to Declaration of Paul LeJoy</u>

Cross-Complainant has submitted objections to the declaration of Paul LeJoy. The objections do not comply with CRC 3.1354(b)(3). In any event, the objections are not well-taken. The evidence proves what it proves and doesn't prove what it doesn't prove, and will be considered only to the extent relevant and probative.

<u>Requests for Judicial Notice</u>

Both sides request judicial notice of various documents. The Court does not need judicial notice as to filings in this case, which are already before the Court. Notice is granted as to the other documents concerned, namely a deed of trust and documents concerning a lawsuit in Alameda County.

<u>Whether Cross-Complaint Asserts a Real Property Claim</u>

Code of Civil Procedure, section 405.4, defines a "real property claim" as the cause or causes of action in a pleading which would, if meritorious, affect "title to, or the right to possession of, specific real property." If the pleading filed by the claimant does not plead a real property claim, the lis pendens must be expunged upon motion under Code of Civil Procedure, section 405.31.

Plaintiff asserts that Bedi has not asserted a real property claim because the cross-complaint "primarily seeks monetary relief" and because Bedi "alleges four causes of action in the cross-complaint, none of which even if meritorious, would affect title to or right to possession of the Property...." (Motion, p. 5:5-10.) In opposition, Bedi argues that an action for foreclosure of a deed of trust is grounds for recording a lis pendens. (Opposition, p. 3:12-21.)

Here, the cross-complaint asserts a claim for breach of deed of trust and includes a request for foreclosure of the deed of trust in the prayer for relief. (Cross-Complaint, ¶¶ 20-26, p. 6:23.) A remedy for breach of a deed of trust is that the beneficiary "is allowed to sell the property." (*Flores v.*

Transamerica HomeFirst, Inc. (2001) 93 Cal.App.4th 846, 854.) This would undoubtedly affect title to, or the right to possession of, the Property. (*See also* Miller and Starr, California Real Estate 4th, § 10:150 [identifying an action to enforce a lien on real property, including an action to foreclose a deed of trust, as being real property claims for the purposes of lis pendens and citing cases].) The Court concludes that the cross-complaint asserts a real property claim.

Whether Bedi Establishes Probable Validity of Her Real Property Claim

FAT.Homes argues that there is no probable validity here because Brar had already conveyed the property to FAT.Homes via a grant deed prior to Brar providing the deed of trust to Bedi. FAT.Homes, however, provides no legal authority supporting the contention that a deed of trust is invalid in the face of a prior, but unrecorded, unknown, and undiscoverable grant deed to someone else.

California law is contrary. California is a race notice jurisdiction and the first to record gets priority. "A good faith encumbrancer for value who first records takes its interest in the real property free and clear of unrecorded interests. (Civ. Code, § 1107, 1214; 3 Miller & Starr, Cal. Real Estate (2d ed. 1989) Recording and Priorities, § 8:2, 8:3, pp. 270, 273 [unrecorded instrument not enforceable against subsequent bona fide purchaser who first records].)" (*Triple a Management Co. v. Frisone* (1999) 69 Cal.App.4th 520, 530.)

Thus, the problem with FAT.Homes's argument is that it looks at the issue only from its own point of view as a buyer, and ignores the situation as it presented itself to Bedi at the time. But the validity of the deed of trust – and, in particular, how the deed of trust stands as against the grant deed – depends on the timing. Here, there is no assertion that Bedi had any knowledge that Brar had sold the property to someone else prior to giving the deed of trust to Bedi. Thus, as far as the publicly available land record showed – and as far as Bedi could have known or discovered – Brar was still the owner of the property, and fully entitled to encumber it by granting a deed of trust.

Obviously, then, FAT.Homes would be on firmer ground if (as would have been conventional) it had timely recorded its grant deed. Indeed, the very purpose of the California title-recording system, and its focus on priority of filing, is precisely to enable a party in FAT.Homes's position to give notice to the world (including a party in Bedi's position) that Brar no longer owned the property. Thus, if FAT.Homes had timely filed, Bedi's claim would still be a real property claim (because based on a purported deed of trust), but it would not stand any chance of prevailing (because the grant deed would have statutory priority). Conversely, it is the purpose of the first-to-file system that a party in Bedi's position, before lending money on a deed of trust, can ensure herself that there are no prior conflicting claimants to ownership, because no conflicting claims are on file. Bedi was entitled to rely on that, while FAT.Homes was not entitled to rely on its own unrecorded title as against Bedi's recorded claim.

And while not directly controlling, it is also worth noting that FAT.Homes's proferred reasons for not filing don't really stand up to scrutiny either. FAT.Homes offers two reasons, neither very clearly explained and possibly not really in harmony with each other. First is that FAT.Homes refrained from filing at Brar's request, so that Brar could engage in some other (not well specified) transactions with third parties concerning the property, while not putting those third parties on notice that Brar no longer owned the property. That's a huge red flag, and should have warned FAT.Homes it was opening itself to shady dealing by Brar. As for the excuse that the grant deed mysteriously got lost – whose fault would that have been? Not Bedi's.

Thus, in examining whether Cross-Complainant has probable validity of the breach of deed of trust claim against Defendants, it is noteworthy that this is not a case with varied and complicated issues relating to the potential liability of Defendants to Cross-Complainant. Here, the deed of trust, which was recorded *prior* to the grant deed, reflects that Defendants owe Cross-Complainant a valid debt of at least $292,500. There is no evidence that Defendants have made any payments. Thus, there is not much more to consider—Cross-Complainant has established probable validity of the real property claim.

<u>Whether Any Technical Shortcomings with Service Justify Expunging the Lis Pendens</u>

Plaintiff argues that the lis pendens should be expunged because "[t]he POS admits that the notice of lis pendens was mailed 'regular' mail, failing the statutory requirement that notice be mailed, registered or certified mail, return receipt requested." (Motion, p. 7:21-24.) However, the POS does not show this. While the POS does not reflect that the method of mailing utilized was "certified" or "registered," etc., it similarly does not specify that that mailing was done via "regular" mail as Plaintiff asserts.

This issue is clarified by paragraphs 2 and 3 and Exhibit B of the Declaration of Kevin R. Martin, which shows that the notice of lis pendens was served by certified mail, with return receipt requested and signed for by a person named Giselle Burhyte. (Martin Decl., ¶¶ 2-3, Exh. B.)

Plaintiff also argues that Cross-Complainant did not mail the notice of lis pendens "to all known addresses of the parties to whom the real property claim is adverse and to all owners of record of the real property affected by the real property claim as shown by the latest county assessment roll." (Code Civ. Proc., § 405.22.)

According to Plaintiff's Secretary of State filing, Paul Lejoy is the agent for service of process for Plaintiff and the address identified for the agent for service of process is not where Cross-Complainant sent the notice of lis pendens. (Lejoy Decl., ¶ 18, Exh. G.) The notice of lis pendens was sent to the address identified on the Secretary of State filing as being the address for the CEO, who also happens to be Paul Lejoy, and the return receipt was signed and returned. (Martin Decl., ¶¶ 2-3, Exh. B.) There are two additional addresses on the Secretary of State filing, one for the mailing address of Plaintiff and one for the California street address of Plaintiff.

The law only requires substantial compliance to satisfy Code of Civil Procedure section 405.22. (*J&A Mash & Barrel, LLC v. Superior Court* (2022) 74 Cal.App.5th 1, 29 ["Here, we resolve that question of law by concluding substantial compliance satisfies the mailing requirement of section 405.22."] The Court concludes that Cross-Complainant substantially complied with the mailing requirement for lis pendens as it was sent by certified mail with return receipt requested to an alternative address for Paul Lejoy, who is the agent for service of process of Plaintiff.

<u>Sanctions</u>

“The court shall direct that the party prevailing on any motion under this chapter be awarded the reasonable attorney’s fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney’s fees and costs unjust.” (Code Civ. Proc., § 405.38.) Here, the Court finds that FAT.Homes acted with substantial justification in moving to expunge the lis pendens and the Court is not inclined to order any sanctions. In this respect, it is significant that while FAT.Homes’s position does not prevail, both of the present combatants are essentially in agreement that FAT.Homes is as much an innocent victim of Brar’s sharp practice as Bedi is.

Courtroom Clerk's Session

9:01 AM CASE NUMBER: MS25-0971
CASE NAME: POETS PROPERTIES, LLC VS. SHANNON WILSON
***DEMURRER / MOTION TO STRIKE HEARING**
FILED BY: WILSON, SHANNON D.
****TENTATIVE RULING:****

This limited-jurisdiction case is **reassigned** to Department 14 (Judge Athanasiou) for all purposes. The demurrer and motion to strike are **continued** to January 27, 2026, at 9:00 a.m. in Department 14.